

Act V: Different Stages

Market Structures

Module XV: The Main Street

Monopolistic Competition



Previously in Marginal Falls

- ◆ Farmers Market → many sellers
- ◆ Corporate District → one seller

Main Street is different: many sellers, each with a slightly different product.

Many Sellers, But Not Identical

Monopolistic competition:

- ◆ many firms
- ◆ low barriers to entry
- ◆ differentiated products
- ◆ some market power

Each shop has rivals, but each shop is not a perfect copy.

Why Moonlit Mocha has Market Power

If Moonlit Mocha raises price, some buyers leave.

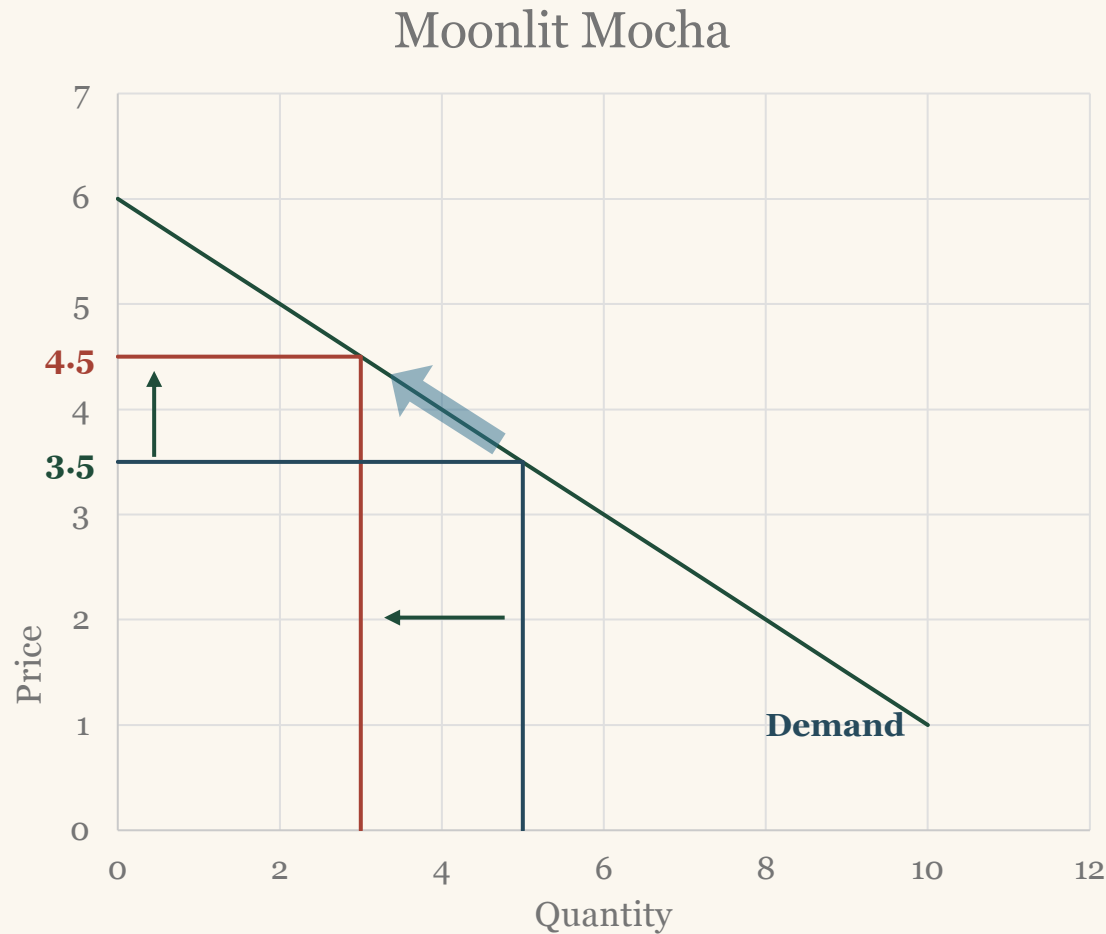
But not all leave.

Some citizens prefer its coffee, seating, brand, or location.

Its demand curve slopes downward.



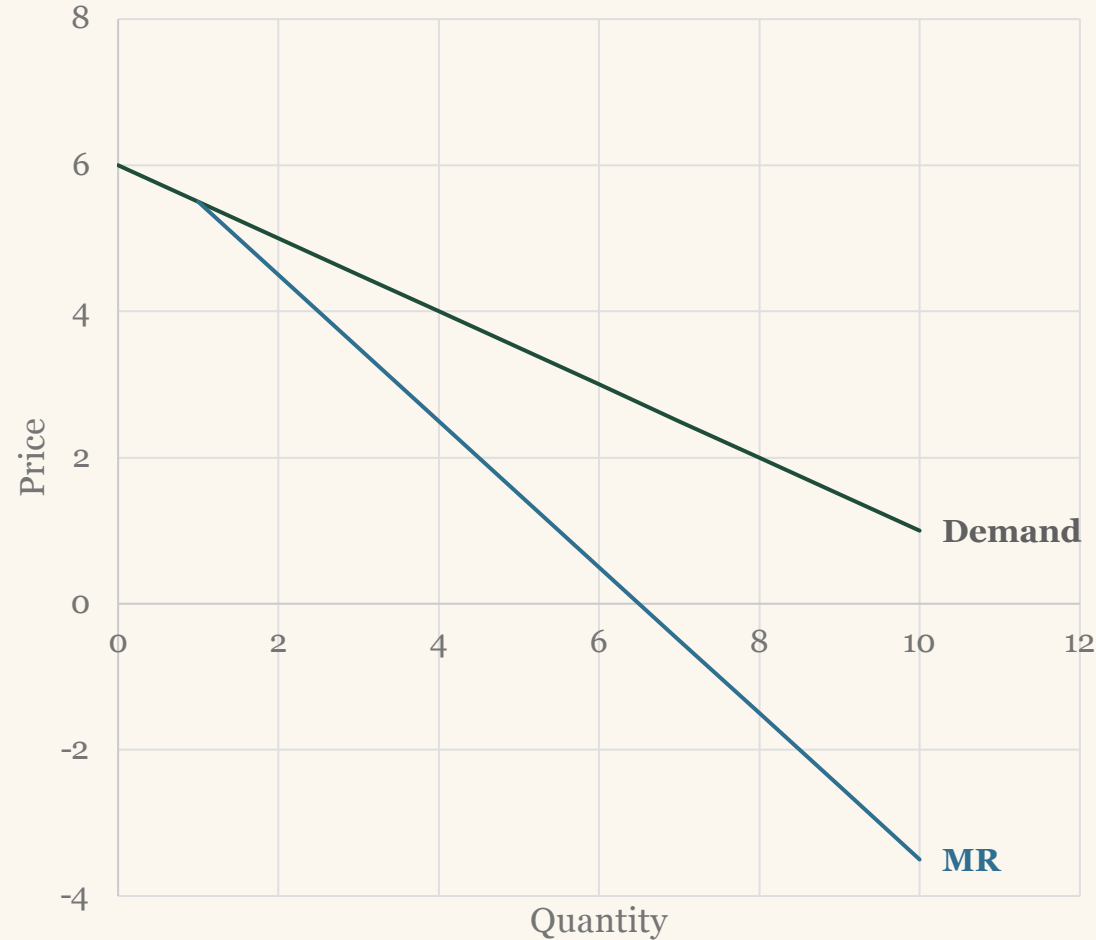
The Demand Curve Is Not Horizontal



- **Perfect competition:** firm demand is horizontal.
- **Monopolistic competition:** firm demand slopes downward.

But it is still elastic because substitutes exist.

One More Latte Has Two Effects



To sell one more latte, Moonlit Mocha lowers price.

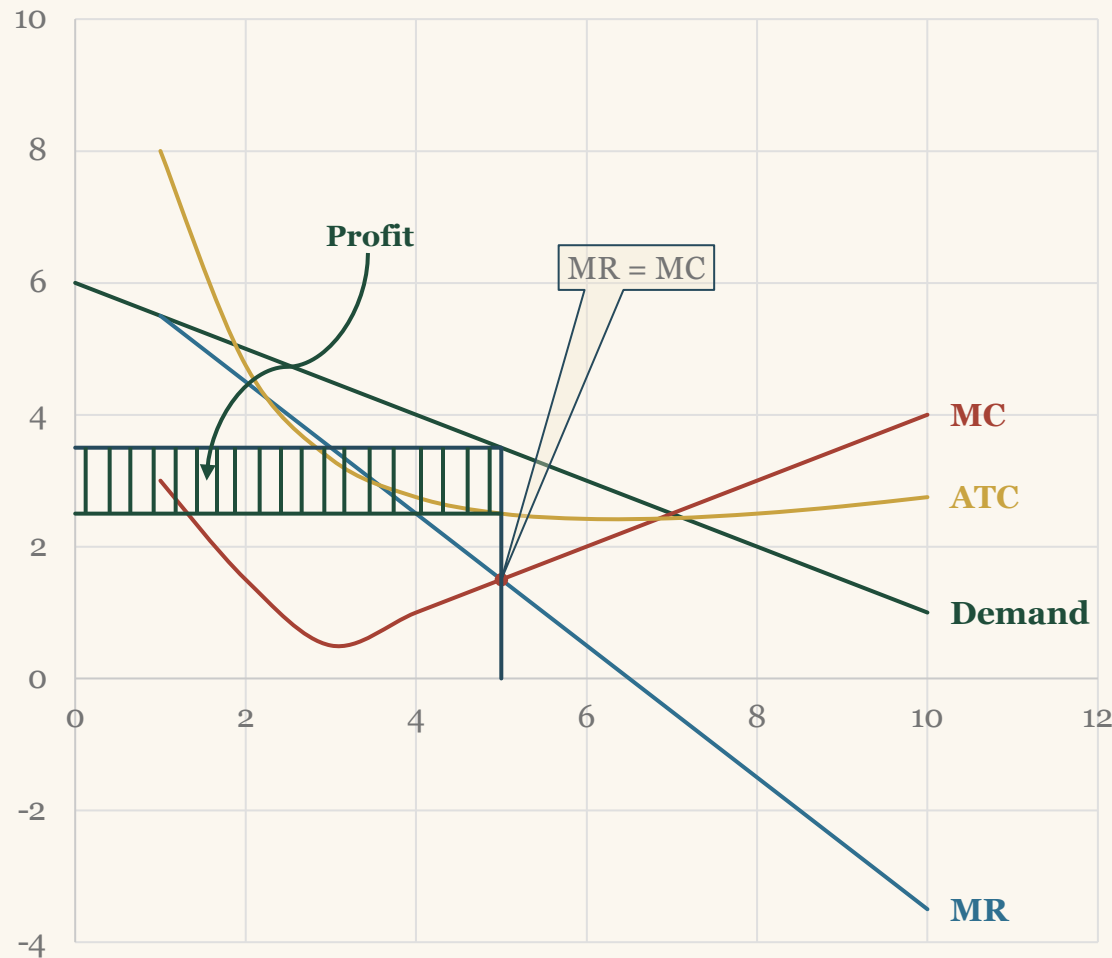
Output effect: sells one more cup.

Price effect: earns less on old cups.

So:

$$\mathbf{MR < Demand = Price}$$

Profit Like a Monopolist

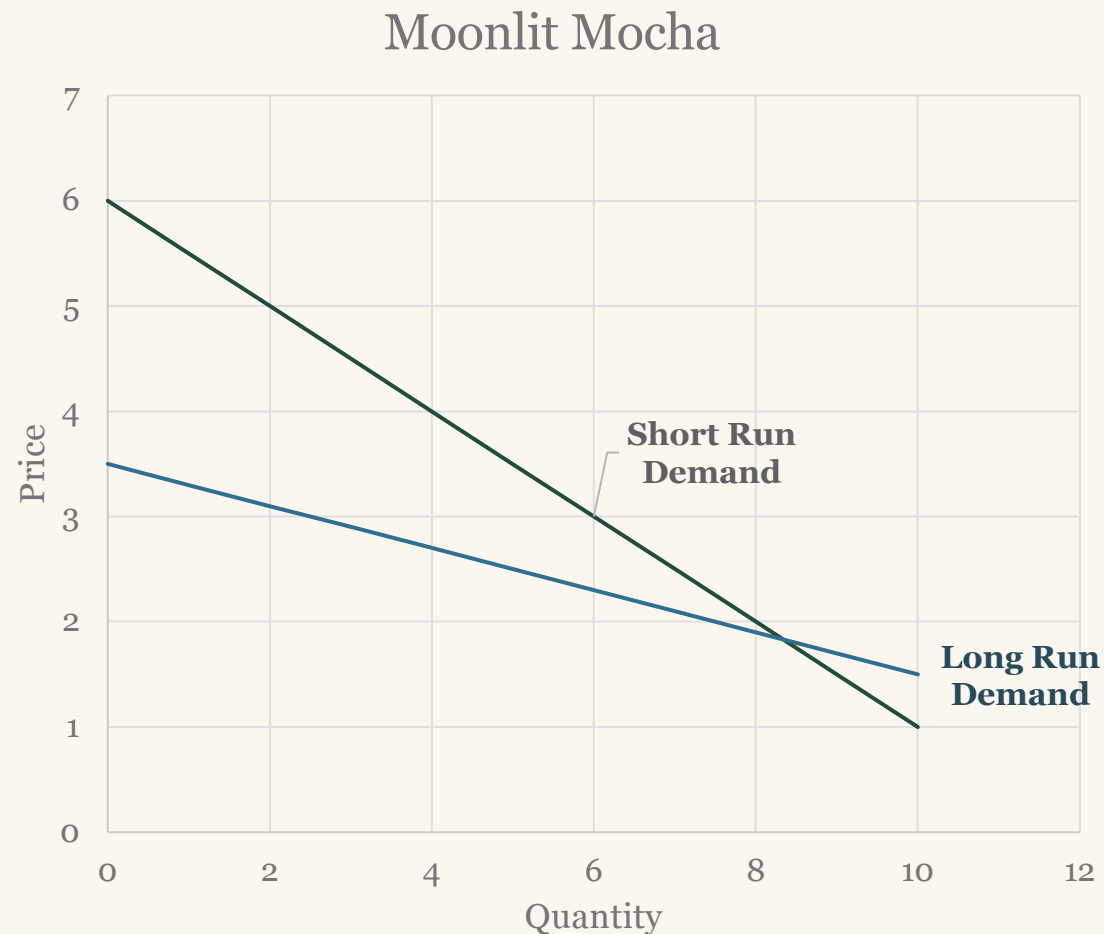


Profit rule:
Produce where **MR = MC**.

Then:

- vertical line up to demand gives price
- vertical line up to ATC gives average cost
- profit per unit = $P - ATC$

Profit Invites Entry



Positive profit attracts new cafés.

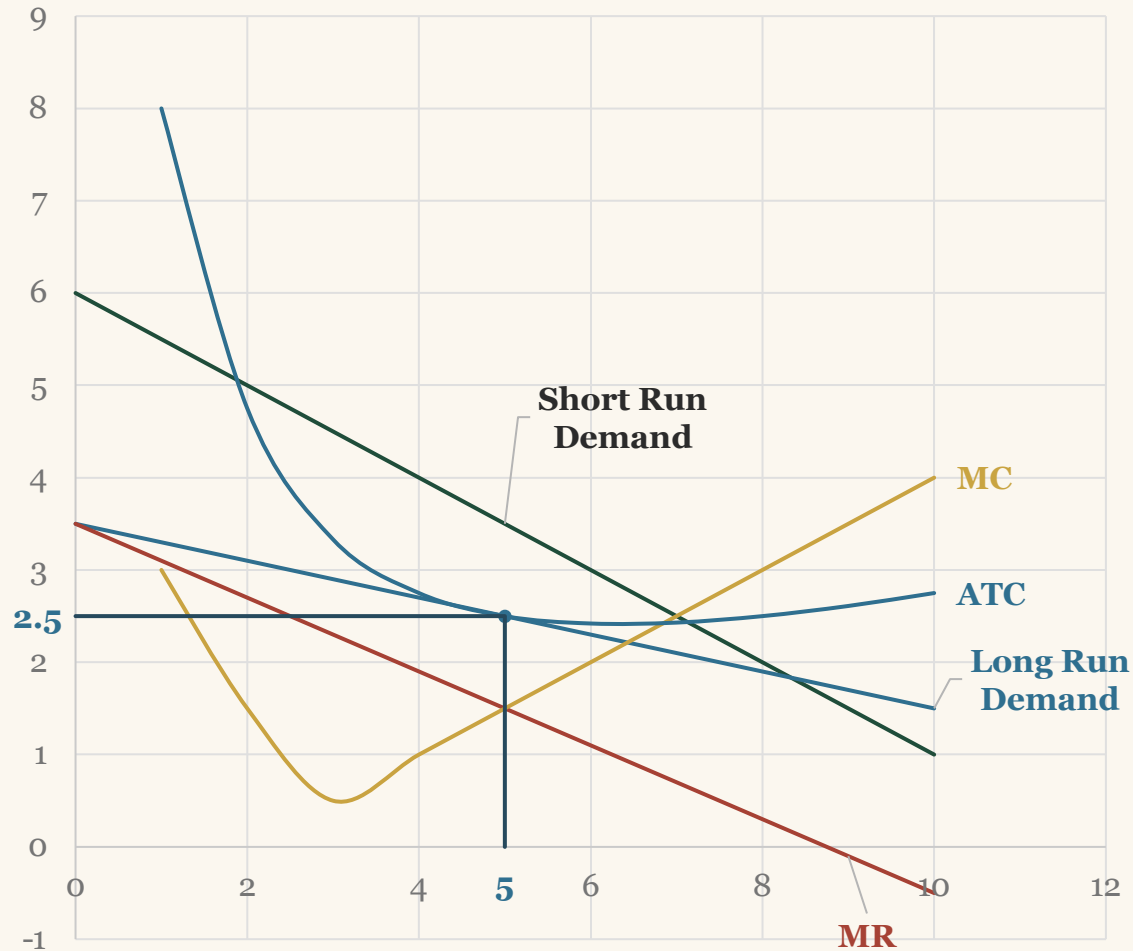
New entry gives buyers more substitutes.

Moonlit Mocha's demand falls.

Important:

Long-run demand becomes flatter because customers can switch more easily.

The Long-Run Benchmark



Entry continues until demand is tangent to ATC.

At $Q = 5$:

$P = \$2.50$

$ATC = \$2.50$

Economic profit = 0

But still:

$P > MC$

Zero Profit Is a Direction, Not a Destiny

The model predicts zero economic profit if firms do nothing.

But firms fight back:

- improve quality
- reduce cost
- advertise
- build brand loyalty
- create a unique experience

Branding is a way to keep demand from sliding all the way down.